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Broadcom (AVGO): Hold

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Broadcom is the premier custom-silicon franchise of the AI buildout, and the market has priced it as if the next five years are already won. At $354.73, the stock implies a 35% revenue CAGR through 2030. Our DCF sees a $321 base case, within 10% of spot, after revising the discount rate to decay as Broadcom's beta compresses.

Hold	$321	$354.73	-10%
RATING	BASE TARGET (BLENDED $314)	SPOT (OCT 12, 2026)	DOWNSIDE TO BASE

$219 / $397	10.1% to 8.75%	$16.7B	$58B	$115B / $230B	$35.4B
BEAR / BULL TARGETS	WACC DECAY PATH	Q3 AI SEMI REVENUE	FY26 AI GUIDE	FY27 / FY28 AI ROADMAP	NET DEBT

Executive summary

We update Broadcom to a **Hold** with a $321 base-case target (blended $314). The business is superb: Q3 FY2026 revenue hit $29.6B (+86% YoY), AI semiconductor revenue tripled to $16.7B, XPU shipments rose more than 3.5x YoY, and free cash flow set a record at $13.7B (46.2% margin). At $354.73 the stock sits 9.6% above our base case, inside our 10% Hold band: roughly fair value on our numbers. The $1.77T enterprise value still demands strong execution of management's $115B/$230B FY2027/FY2028 AI roadmap, but it no longer demands a short.

Our five-year DCF (tapered 12% / 20% / 25% revenue CAGRs, EBIT margins expanding 100 bps a year, 3% terminal growth, WACC decaying from 10.1% to 8.75%) yields Bear $219, Base $321, Bull $397. The bull case now clears spot by 12%, but the blended $314 sits 11% below it: the upside requires the full $115B/$230B roadmap converting, while any digestion in AI capex reprices the stock hard.

> **Our read:** the market is pricing perfection. Our reverse DCF shows $354.73 implies a **35.2% five-year revenue CAGR** at a flat 45% FCF margin, above even our 25% bull case. That is essentially management's $115B/$230B AI roadmap underwritten in full, with no stumble allowed. The September quarter proved how little tolerance exists: Q4 revenue guided to $34.8B (+93% YoY) missed consensus by 0.7% and the stock was sold. When the bar is perfection, meeting expectations is the bear case.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (FY26-30)	12%	20%	25%
Revenue path, FY27 to FY30	16 / 14 / 10 / 8%	28 / 26 / 16 / 11%	35 / 30 / 21 / 15%
EBIT margin, 2026 to 2030	36.8% to 40.8%	42.6% to 46.6%	46.0% to 50.0%
2030 revenue ($B)	166.4	219.9	258.6
2030 FCF margin	44%	49%	52%
Terminal growth	3.0%	3.0%	3.0%
Target per share	**$219**	**$321**	**$397**

WACC decays 10.1% to 8.75% terminal (spot 10Y ~5.2%; beta compressing from 1.49 toward ~1.05 x 3.37% implied ERP). Gordon terminal at 3.0%. Net debt $35.4B ($59.4B debt less $24.0B cash); diluted shares shrink 1.5% a year from 4,887M (Q3 FY2026 10-Q) on buybacks. FY2026 revenue $105.9B (Q1-Q3 actuals + Q4 guide).

> **A note on the discount rate.** Our original model discounted at a flat 10.10%, and the pushback was fair: 10.1% is a punishing hurdle for a $1.7T mega-cap, driven almost entirely by a 1.49 beta against a 3.37% implied ERP. That beta prices Broadcom like a cyclical. As AI revenue scales and recurring VMware software becomes a larger share of the mix, beta should compress toward 1.0-1.2, and the discount rate with it. We now decay WACC linearly from 10.10% in 2026 to 8.75% by 2030 (about a 1.05 beta). The ERP tab is untouched live market data. That change, alongside margin expansion as the VMware integration matures, moves the base case from $227 to $321. At 9.6% below spot, the base case sits inside our 10% Hold band: fairly valued on our numbers, not a short.

Bull case: $397 THE ROADMAP, BELIEVED

Hyperscalers keep shifting to custom XPUs, Ethernet displaces InfiniBand in AI fabrics, and the six-customer XPU roster (Google, Meta, ByteDance, OpenAI, Anthropic, Fujitsu) converts the $115B/$230B AI roadmap into reported revenue. FCF margins push past 50% on software mix and operating leverage, with EBIT margins reaching 50% by 2030. Worth $397, 12% above spot: the bull case justifies the price, but only if the full roadmap converts with no stumble.

Bear case: $219 DIGESTION

AI capex enters a digestion phase in 2027/2028, Marvell takes share in custom silicon and networking, and customer concentration bites: Anthropic and OpenAI are the growth engine, and Broadcom is now their lender as well as their chip supplier ($42B Anthropic facility; a reported $50B+ OpenAI financing in the works). Pricing pressure offsets scale and FCF margins hold in the low 40s. Worth $219, 38% below spot.

Verdict

> **We rate AVGO Hold.** The base case ($321) sits 9.6% below spot, inside our 10% Hold band: on our numbers the stock is roughly fairly valued. The bear case ($219) is 38% below and the bull case ($397) is 12% above, so the risk/reward is balanced at $354.73. The market is paying for the $115B/$230B AI roadmap before the returns are proven, and the blended $314 sits 11% below spot, but our base case no longer argues for a short. What would move us: roadmap conversion ahead of plan turns this into a Buy; AI capex digestion or a frontier-lab stumble turns it into a Sell.

What would change our mind

- **Roadmap conversion:** FY2027 AI revenue tracking toward $115B with supply secured would force us to raise our CAGRs toward the market-implied 35%.
- **De-risked concentration:** the Anthropic/OpenAI financings closing cleanly, with customer payments de-linked from Broadcom's own balance sheet.
- **Multiple compression elsewhere:** a broad AI derating that brings the price to our base case would turn this into a Buy on the same fundamentals.

Key themes

1. Custom silicon dominance ACCELERATING

Broadcom co-designs XPUs with six customers and holds roughly 60% share in custom AI silicon and 60-65% in AI networking (Tomahawk/Jericho). Q3 XPU shipments rose more than 3.5x YoY and were 73% of AI revenue. High-volume Ironwood (TPU v7) shipments are ramping, TPU v8i production has begun, OpenAI's Jalapeno shipped in Q3, and Meta's MTIA is expected in Q4.

2. AI revenue: frontier labs vs hyperscalers ACCELERATING

Broadcom discloses no AI revenue split by customer, in any filing or call. What is on the record: six named XPU customers (Google, Meta, ByteDance, OpenAI, Anthropic, Fujitsu) and CEO Hock Tan's gigawatt trajectory from the Q3 call. Anthropic deploys 1GW of Ironwood in 2026, 5GW of TPU v8i in 2027, and 10GW of TPU 9 in 2028, and is on track to be Broadcom's largest XPU customer in 2027 and 2028. OpenAI ships 1.3GW of Jalapeno in 2027 and over 5GW in 2028, becoming the #2 XPU customer with Google at #3. One correction to our earlier notes: Anthropic does not buy Ironwood chips directly from Broadcom. Ironwood is Google's seventh-generation TPU, co-developed and supplied by Broadcom through 2031; Anthropic's Ironwood capacity arrives via Google Cloud under the three-way Google-Broadcom-Anthropic arrangement. Mizuho estimates Anthropic at roughly $21B of Broadcom AI revenue in 2026 and $42B in 2027 versus the $58B FY26 AI guide, which would make one frontier lab about a third of AI revenue this year (analyst estimate only). Our inference: the two frontier labs combined exceed the largest hyperscaler's XPU purchases by 2028. The growth is increasingly rented from customers Broadcom also finances.

3. The VMware software engine STABLE

Infrastructure software did $8.8B in Q3 (+29% YoY, 30% of revenue) at an 84% operating margin, up 650 bps YoY. VMware ARR grew 15%. This is the margin ballast that lets consolidated FCF margins sit in the mid-40s.

4. A cash machine with a growing customer-credit book STABLE

Q3 FCF was $13.7B (46.2% margin) on $14.2B of operating cash flow and just $0.5B of capex. Cash ended at $24.0B (+$4.3B sequentially) after $7.1B of debt paydown, funding a $0.65 quarterly dividend. The offset: the June 2026 AI XPV Platform finances 20+ GW of custom-chip compute for frontier labs through 2028, opened with a $35B Apollo-led Anthropic deal, and October reports put a $42B Anthropic facility and a $50B+ OpenAI financing on the table. Broadcom is becoming its customers' lender, which concentrates rather than diversifies the AI bet.

5. Expectations are the risk DECELERATING

AI revenue has more than tripled this year and the stock is up only single digits while semis broadly rallied: the market is no longer asking whether Broadcom can grow, but whether growth beats an already extreme bar. Q4 guidance of $34.8B (+93% YoY) missed consensus by 0.7% and was punished. With the CEO himself likening some AI investment behavior to casino gambling, the sentiment setup is fragile.

Other KPIs

METRIC	VALUE
Market cap / Enterprise value (at $354.73)	$1.73T / $1.77T
Q3 FY26 revenue / YoY	$29.6B / +86%
Semiconductor Solutions / YoY (70% of rev)	$20.8B / +127%
Infrastructure Software / YoY (30% of rev)	$8.8B / +29%
Q3 AI semiconductor revenue / YoY	$16.7B / +221%
Q3 non-GAAP operating margin	67.9%
Q3 FCF / margin	$13.7B / 46.2%
Cash and equivalents	$24.0B
Net debt	$35.4B
Quarterly dividend	$0.65
Diluted shares (Q3 FY26 10-Q)	4,887M

Guidance

Q4 FY2026 revenue guided to ~$34.8B (+93% YoY) with non-GAAP operating margin ~66%; AI semiconductor revenue ~$21.7B (+236% YoY). Full-year FY2026 AI revenue guided to ~$58B (+186% YoY, raised from $56B). Management's roadmap: ~$115B AI revenue in FY2027 and ~$230B in FY2028, with supply secured for both years and adjusted EPS above $30 in FY2028. Q4 results are due mid-December 2026. Watch AI revenue conversion against the roadmap, the Anthropic/OpenAI financing structures, and any sign of capex digestion.

Reverse DCF: what the market is pricing in

At $354.73, AVGO carries a $1.73T market cap and a $1.77T enterprise value. Running the model's own five-year framework in reverse at a flat 45% FCF margin, the market-implied revenue CAGR is **35.2%**, implying 2030 revenue of roughly $475B versus $105.9B in FY2026.

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	35.2%	$354.73 (spot)
Bull case	25%	**$397**
Base case	20%	**$321**
Bear case	12%	**$219**

The market is underwriting management's $115B/$230B AI roadmap in full and then demanding more: 35.2% is ten points above our bull case and essentially the roadmap's ~42% trajectory with a small haircut. There is no margin of safety here. If the roadmap converts, the stock roughly earns its price; if AI capex digests or a frontier-lab customer stumbles, the repricing starts from a 35% CAGR expectation and the downside is our bear case.

Model

Full three-scenario 5-year detailed EBIT-bridge DCF with live CAPM, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/1pu8sxjbUrpLUMTUpgVaz8_4uN7FabLuV9Wx2NscWgQw/edit?usp=drivesdk

Risks to our Hold

- **To the upside (Buy):** the $115B/$230B AI roadmap converts ahead of schedule, forcing our CAGRs toward the market-implied 35%.
- **To the upside (Buy):** frontier-lab demand proves durable and financed cleanly, removing the concentration discount; Ethernet share gains and software mix push FCF margins structurally above 50%.
- **To the downside (Sell):** AI capex digests in 2027/2028, repricing the stock from a 35% CAGR expectation toward our $219 bear case.
- **To the downside (Sell):** Marvell takes meaningful share in custom silicon or networking, or a frontier-lab customer stumbles on its buildout.